

Notes: Baker, Bloom, and Davis (QJE, 2016)

Measuring Economic Policy Uncertainty

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1 Big picture

- **Question.** How can researchers measure economic policy uncertainty (EPU) in a timely, transparent, and comparable way, and what are the economic consequences of high policy uncertainty?
- **Core contribution.** The paper constructs a newspaper-based EPU index for the United States and many other countries, validates the index through several audits and comparisons, and uses it to study firm-level and aggregate responses to policy uncertainty.
- **Measurement idea.** Count newspaper articles that jointly contain terms related to the economy, policy, and uncertainty. Scale and normalize the article counts to form an index.
- **Why newspapers?** Newspapers give long samples, high frequency, international coverage, and a way to measure expectations and concerns that may not appear directly in standard macro or financial data.
- **U.S. index.** The main U.S. monthly EPU index uses 10 leading newspapers from 1985 onward. It spikes around the Gulf Wars, 9/11, the Lehman bankruptcy and TARP, the debt ceiling dispute, the fiscal cliff, and government shutdown episodes.
- **Policy categories.** The authors also construct category-specific indexes for monetary policy, fiscal policy, taxes, government spending, national security, health care, financial regulation, entitlement programs, sovereign debt, and trade policy.
- **Validation.** The paper compares the automated index to human-coded articles, alternative newspapers, the VIX, Beige Book uncertainty counts, 10-K risk-factor language, and international EPU indexes.
- **Firm-level evidence.** Firms with higher exposure to government purchases, defense, health care, or financial regulation become more volatile and reduce investment/employment more when the corresponding EPU category rises.
- **Aggregate evidence.** VAR evidence shows that an EPU shock is followed by declines in industrial production and employment. Similar patterns appear in a cross-country panel VAR.
- **Economic takeaway.** Policy uncertainty is measurable, moves with salient policy events, and is negatively associated with investment, employment, and output.

2 Incremental contribution of the paper

2.1 Contribution relative to earlier policy uncertainty studies

- Earlier empirical work often relied on narrow proxies: election timing, tax-law changes, dispersion in forecasts, implied volatility, or qualitative case studies.
- This paper provides a broad, high-frequency, transparent index that can be updated in real time and extended across countries and policy categories.
- The index is not limited to one policy domain; it captures fiscal, monetary, regulatory, security, health-care, sovereign-debt, and trade-policy uncertainty.
- The approach is scalable because the index is based on text search rules rather than bespoke manual coding for each event or country.

Interpretation: The key incremental measurement contribution is to turn a broad, difficult-to-observe concept—economic policy uncertainty—into a reproducible time series that can be used in many empirical settings.

2.2 Contribution relative to uncertainty and real-options theory

- Theoretical work emphasizes that uncertainty can delay investment when decisions are partly irreversible.
- The paper brings this idea to the data by constructing a policy-specific uncertainty shock, rather than relying only on stock market volatility or macro uncertainty.
- The firm-level evidence connects the macro index to micro outcomes: firms more exposed to the relevant policy categories experience larger movements in implied volatility and larger contractions in investment and employment.

Interpretation: The paper moves the uncertainty literature from general uncertainty proxies to policy-specific uncertainty measures that can be linked to firms' actual exposure.

2.3 Contribution relative to text-as-data methods

- The paper is an early large-scale application of textual analysis to macro-finance measurement.
- It validates automated classifications against human readings, demonstrating that simple dictionary-based filters can be useful when carefully designed and audited.
- The method is portable across time, countries, and document types, including newspapers, Federal Reserve Beige Books, and 10-K filings.

Interpretation: The paper demonstrates how text can be transformed into economically meaningful time series and opens a template for later research using news, filings, and other textual sources.

2.4 Contribution to macro-finance and policy debates

- The paper provides evidence that policy uncertainty is not just a symptom of recessions or financial stress; it has distinct variation and predicts real economic outcomes.
- It shows that EPU is related to but different from the VIX, consumer sentiment, and general macro-financial uncertainty.
- The paper offers a practical tool for policymakers, firms, and researchers to monitor uncertainty about policy institutions and decisions.

Interpretation: The incremental policy contribution is that the paper provides a quantifiable and publicly usable measure of uncertainty that policymakers can track and researchers can incorporate into empirical models.

3 Data and measurement

3.1 Main U.S. newspaper EPU index

- The baseline U.S. monthly EPU index begins in January 1985.
- It uses 10 major newspapers: USA Today, Miami Herald, Chicago Tribune, Washington Post, Los Angeles Times, Boston Globe, San Francisco Chronicle, Dallas Morning News, New York Times, and Wall Street Journal.
- An article enters the count if it contains at least one economy term, one policy term, and one uncertainty term.
- The uncertainty term set includes variants such as “uncertain” and “uncertainty.”
- The economic term set includes “economic” or “economy.”

- The policy term set includes terms such as “regulation,” “deficit,” “federal reserve,” “congress,” “legislation,” “white house,” and related policy language.

The scaled newspaper count for paper i in month t is denoted

$$X_{it} = \frac{\text{EPU article count}_{it}}{\text{total article count}_{it}}. \quad (1)$$

The authors standardize each newspaper series and then average across newspapers:

$$EPU_t = \frac{1}{N_t} \sum_{i=1}^{N_t} \tilde{X}_{it}, \quad (2)$$

where $\tilde{X}_{it}$ is the normalized scaled count and N_t is the number of newspapers available in month t .

Interpretation: Scaling by total article counts controls for newspaper size and changes in archive coverage. Normalizing and averaging prevents one newspaper from mechanically dominating the index.

3.2 Daily and Newsbank-based indexes

- In addition to the monthly 10-newspaper index, the authors build a daily U.S. EPU index using Newsbank.
- The Newsbank archive includes around 1,500 U.S. newspapers, which makes it useful for high-frequency applications.
- The daily index correlates strongly with the monthly index, but the authors emphasize the 10-newspaper monthly series for long-term consistency.

Interpretation: The monthly index is the baseline for consistency, while the daily index provides event-study and real-time monitoring advantages.

3.3 Category-specific EPU indexes

- Category-specific indexes apply additional filters to the articles that satisfy the baseline EPU filter.
- The paper constructs 11 categories: fiscal policy, taxes, government spending, monetary policy, health care, national security, financial regulation, entitlement programs, sovereign debt, trade policy, and a residual category.
- Each category index is normalized to have mean 100 over 1985–2009.

Interpretation: Category indexes allow the authors to study which kind of policy uncertainty matters for a particular firm, industry, or historical episode.

3.4 International and long-span EPU indexes

- The authors apply the same newspaper-counting logic to multiple countries.
- The Russian index, for example, responds to events such as the Chechen wars, the 1998 financial crisis, the Yukos/Khodorkovsky period, and the Ukraine/Crimea crisis.
- The paper also constructs long-span indexes for the United States and the United Kingdom going back to 1900.
- For historical indexes, the authors expand the economic and policy term sets to account for earlier language and newspaper conventions.

Interpretation: The method is portable, but country-specific and historical adaptations are needed when media institutions, censorship, language, and archive coverage differ.

3.5 Validation datasets

The paper validates the index using several independent sources:

- human-coded article audits;
- newspaper comparisons across ideological or political slants;
- the VIX;
- Federal Reserve Beige Book uncertainty counts;
- 10-K risk-factor policy uncertainty language;
- daily stock market jumps attributed to policy news;
- international event histories.

Interpretation: These validation exercises test whether the index is just a mechanical word-count artifact or whether it captures economically meaningful uncertainty about policy.

4 Empirical specifications and economic interpretation

4.1 Audit-based validation

The authors compare automated article classifications to human readings. For an article j , define

$$H_j = 1\{\text{human coder classifies article } j \text{ as EPU}\}, \quad (3)$$

and

$$C_j = 1\{\text{computer filter classifies article } j \text{ as EPU}\}. \quad (4)$$

The validation question is whether the time series formed from C_j tracks the time series formed from H_j .

Interpretation: The audit does not require perfect classification of every article. It asks whether classification errors are small enough, or stable enough, that the aggregate index tracks true EPU variation.

4.2 Firm-level implied volatility regressions

The paper studies how firm-level implied volatility responds to policy uncertainty. A stylized version of the regression is

$$\log(IV_{i,t}) = \alpha_i + \gamma_t + \beta(EPU_t \times Exposure_i) + \delta X_{i,t} + \varepsilon_{i,t}, \quad (5)$$

where $IV_{i,t}$ is firm-level 30-day implied volatility and $Exposure_i$ captures how exposed the firm is to a policy category or government demand.

Interpretation: If the index captures meaningful policy risk, exposed firms should become more volatile when relevant policy uncertainty rises.

4.3 Firm investment and employment regressions

The paper estimates regressions of firm-level investment and employment growth on EPU exposure. A stylized investment specification is

$$InvestmentRate_{i,t} = \alpha_i + \gamma_t + \beta (EPU_t \times Exposure_i) + \delta X_{i,t-1} + u_{i,t}. \quad (6)$$

A corresponding employment-growth specification is

$$EmploymentGrowth_{i,t} = \alpha_i + \gamma_t + \beta (EPU_t \times Exposure_i) + \delta X_{i,t-1} + u_{i,t}. \quad (7)$$

Interpretation: A negative β indicates that policy uncertainty depresses real activity more strongly among firms with greater exposure to the relevant policy domain.

4.4 VAR analysis

The U.S. VAR includes the EPU index and macro-financial variables such as the S&P 500 index, policy rate, employment, and industrial production. A reduced-form representation is

$$Y_t = A_1 Y_{t-1} + \dots + A_p Y_{t-p} + \varepsilon_t, \quad (8)$$

where Y_t contains EPU and macro variables. The paper studies the impulse response of macro variables to an EPU innovation.

Interpretation: The VAR does not prove structural causality by itself, but it provides a disciplined summary of how output and employment move after innovations in EPU.

4.5 Panel VAR analysis

The international panel VAR uses country-level EPU indexes for 12 countries. The basic logic is similar to the U.S. VAR, but the panel adds country fixed effects and uses country-level data.

Interpretation: The panel VAR asks whether the U.S. time-series patterns also appear in a broader international sample, improving external validity.

5 Identification and empirical design

5.1 Measurement identification

- The EPU index is identified by joint newspaper references to economic terms, policy terms, and uncertainty terms.
- Scaling by total article counts reduces mechanical changes due to archive size and newspaper coverage.
- Human audits test whether the word-count filter captures the intended concept.
- Comparisons to the VIX, Beige Books, and 10-K filings test whether the index captures a broader uncertainty concept rather than idiosyncratic newspaper noise.

Interpretation: The index is credible when it moves at plausible policy events, passes human audit checks, and is related to but distinct from other uncertainty measures.

5.2 Firm-level identification

- The firm-level design uses cross-sectional exposure to identify differential responses to a common policy uncertainty shock.
- Defense firms, health-care firms, financial firms, and firms with high government purchases exposure should react more to their relevant EPU categories.
- Firm fixed effects absorb persistent differences across firms.
- Time fixed effects absorb aggregate shocks common to all firms.

Interpretation: The firm-level design is stronger than a pure time-series regression because it compares high-exposure and low-exposure firms facing the same aggregate environment.

5.3 Aggregate identification

- The VAR design uses dynamic responses after innovations to EPU.
- Robustness checks vary the ordering, sample period, lag length, and included variables.
- The paper also shows panel VAR evidence across multiple countries.

Interpretation: VAR evidence is suggestive rather than definitive. It is strongest when the response patterns align with firm-level evidence and remain stable under alternative specifications.

5.4 Limitations

- Newspaper content may reflect media attention, political slant, or general bad news rather than pure policy uncertainty.
- Word-count measures are noisy and can miss articles that discuss uncertainty using different language.
- The index captures perceived policy uncertainty, not necessarily objective policy risk.
- VAR impulse responses cannot fully separate policy uncertainty shocks from omitted economic shocks.
- Firm-level exposure variables are imperfect proxies for true exposure to policy risk.

Interpretation: The paper's credibility comes from triangulation: multiple data sources and designs point in the same direction.

6 Tables and figures

The figures and tables below are directly extracted from the original paper. Nearby figures/tables are placed on the same row where possible to save space.

6.1 Figure I and Figure II: U.S. EPU index and policy-category indexes

Read:

- Figure I shows the baseline U.S. EPU index from 1985 to 2014.
- The index spikes around Black Monday, Gulf War I, the Clinton election, the Russian crisis/LTCM, the Bush election, 9/11, Gulf War II, the Lehman failure and TARP, the Euro crisis, the debt-ceiling dispute, the fiscal cliff, and government shutdowns.
- Figure II shows that different policy categories move at different times.
- National security EPU spikes around wars and 9/11; health-care EPU spikes around Clinton health reform and the Affordable Care Act.

Economic message: The baseline index captures broad policy uncertainty, while category indexes identify which policy domain drives a spike.

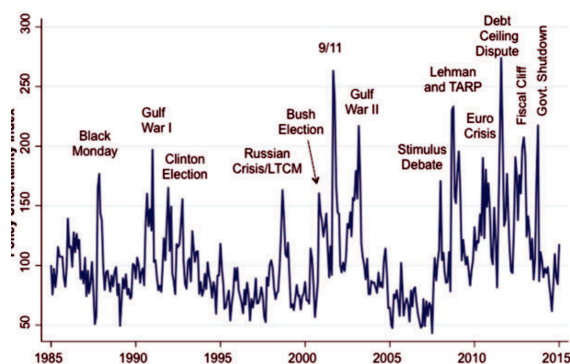


Figure I: U.S. EPU index

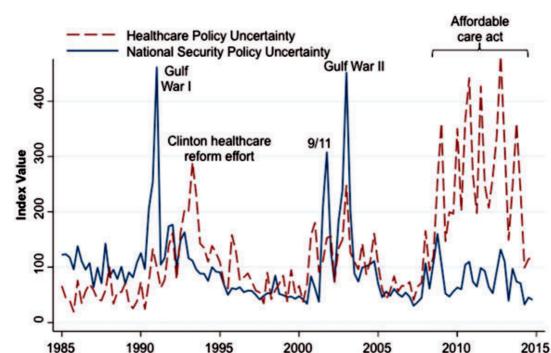


Figure II: National-security and health-care EPU

6.2 Table I and Figure III: policy categories and international portability

Read:

- Table I reports average category-specific EPU levels across time periods and major events.
- Fiscal policy has the largest category weight overall, followed by taxes, government spending, monetary policy, health care, national security, financial regulation, and entitlement programs.
- Figure III shows that the same method produces plausible EPU movements for Russia.
- Russian EPU spikes around constitutional crises, Chechen wars, financial crisis, terrorist attacks, election fraud, and Ukraine-related events.

Economic message: EPU can be decomposed by policy domain and exported to non-U.S. contexts, though interpretation must account for local institutions and media restrictions.

TABLE I
ECONOMIC POLICY UNCERTAINTY BY POLICY CATEGORY AND TIME PERIOD, 1985–2014

	1985:1– 1990:6	1990:7– 1991:12	1992:1– 2001:8	2001:9– 2002:12	2003:1– 2007:6	2007:7– 2008:8	2008:9– 2009:12	2010:1– 2013:10	1985:1– 2014:12
	Mid-80s to Gulf War I	Gulf War I	1990s boom to 9/11	9/11 attacks	2000s boom	Early credit crunch	Lehman collapse & recession	Fiscal policy battles	Overall average
Overall economic uncertainty	218.2	349.8	185.9	326.9	159.8	184.8	370.9	252.1	219.3
Policy uncertainty	109.6	141.9	88.1	128.5	71.4	83.4	132.1	127.5	100.0
Monetary policy	49.6	59.6	35.9	55.4	32.3	33.1	61.5	78.3	46.1
Fiscal policy	39.9	48.4	31.9	51.2	30.2	31.4	56.9	68.1	40.3
Government spending & other	22.7	26.8	12.1	17.3	8.5	6.6	17.1	33.2	17.1
Monetary policy	32.7	41.8	26.1	45.2	22.2	31.6	27.8	26.1	28.1
Monetary policy	7.0	15.4	14.9	18.4	13.1	13.4	29.3	39.3	17.3
Monetary policy	25.0	53.6	18.0	54.8	25.4	15.9	21.3	19.8	23.8
Monetary policy	15.7	23.0	14.5	19.6	11.2	15.5	29.2	28.1	17.4
Monetary policy	3.3	7.0	1.3	5.3	1.7	3.6	10.2	6.1	3.3
Monetary policy	1.4	0.6	2.3	0.5	0.4	0.3	0.4	3.9	1.6
Monetary policy	7.3	12.6	11.5	18.7	8.8	8.2	15.3	24.7	12.4
Monetary policy	3.8	4.0	6.3	2.6	1.7	2.0	1.4	2.1	3.8
Monetary policy	142.5	210.7	129.5	215.1	115.2	120.0	186.3	222.2	150.6
Monetary policy	0.50	0.41	0.47	0.39	0.45	0.45	0.36	0.51	0.47

Series run February 12, 2015, on U.S. newspapers in Access World News Newshawk, using the category-specific policy term sets listed in Online Appendix B. Except for monetary policy, all series are expressed relative to the average EPU frequency from 1985 to 2014. "Overall economic uncertainty" quantifies the frequency of articles that meet our "uncertainty" requirements (i.e., dropping the "policy" requirement) and is also expressed relative to the average EPU frequency from 1985 to 2014. The category values sum to more than 100 for two reasons: first, we use a few policy terms in more than one policy category. For example, "Medicaid" appears in the term sets for

Table I: EPU by category and period

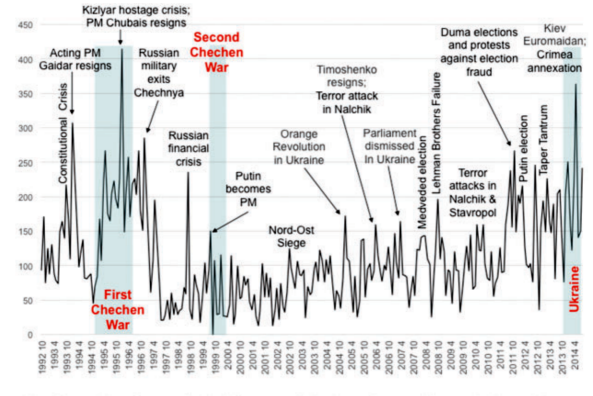


Figure III: Russia EPU index

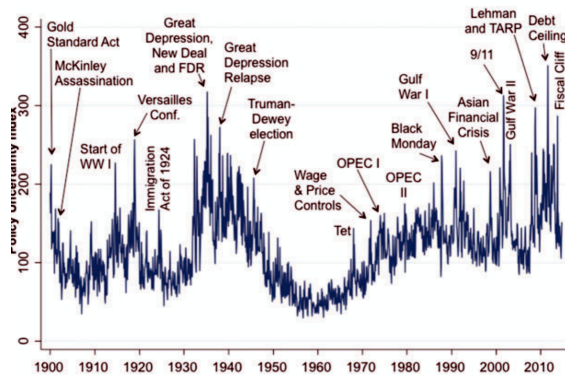
6.3 Figure IV and Figure V: historical series and human validation

Read:

- Figure IV extends the U.S. EPU index back to 1900.
- Historical spikes occur around the gold standard, McKinley assassination, start of World War I, Versailles conference, Immigration Act, New Deal, Great Depression relapse, OPEC shocks, Gulf Wars, 9/11, Lehman/TARP, debt ceiling, and fiscal cliff.
- Figure V compares the automated computer index to a human-coded EPU index.
- The human and computer indexes track each other closely, which validates the text-filter approach.

Economic message: The index is not merely a modern news artifact. It captures plausible historical uncertainty episodes and performs well against human readings.

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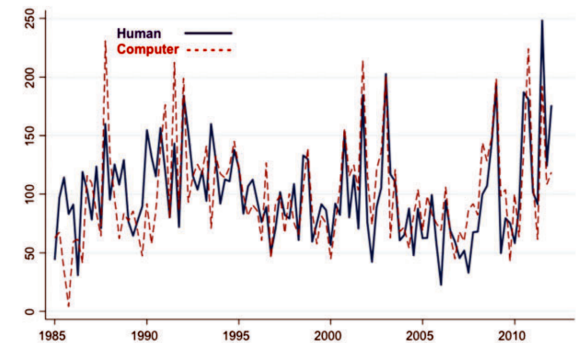


Index reflects scaled monthly counts of articles in 6 major newspapers (Washington Post, Boston Globe, LA Times, NY Times, Wall Street Journal, and Chicago Tribune) that contain the same terms as in Figure I, except the economic term set includes

Figure IV: U.S. historical EPU index

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Index comparison from 1985 Q1 to 2012 Q1 based on 3,723 articles (4,388 audits) in the Chicago Tribune, Dallas Morning News, LA Times, Miami Herald, NY Times, San Francisco Chronicle, Washington Post and Wall Street Journal. Series are plotted

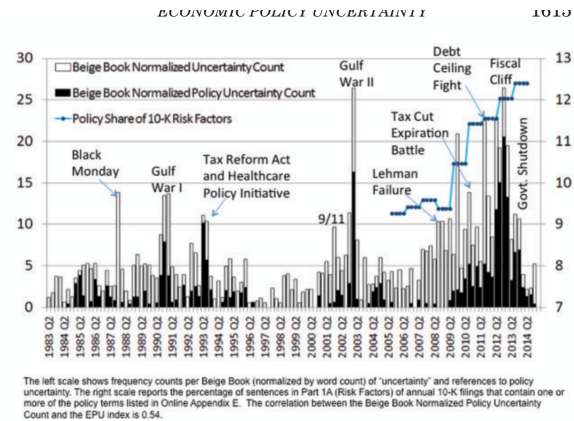
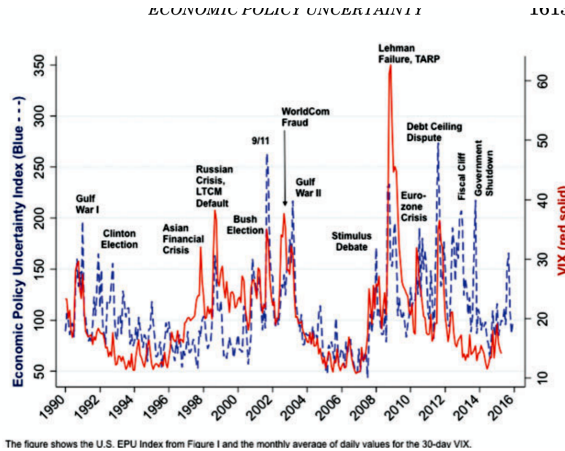
Figure V: Human versus computer EPU

6.4 Figure VI and Figure VII: comparisons to VIX, Beige Books, and 10-K risk factors

Read:

- Figure VI compares the U.S. EPU index with the 30-day VIX.
- EPU and VIX move together during some crises, but they also differ: EPU responds strongly to wars, elections, and fiscal battles, while VIX reflects financial volatility more broadly.

- Economic message:** EPU overlaps with financial uncertainty but is not the same object. Text from Beige Books and corporate filings provides independent validation.



6.6 Table IV and Figure VIII: firm real activity and U.S. VAR responses

Read:

- Table IV studies firm-level investment, employment, and sales.
- Higher policy uncertainty is associated with lower investment and employment growth, especially for firms exposed to government purchases or policy-sensitive categories.
- Figure VIII shows VAR impulse responses to an EPU shock in monthly U.S. data.
- Industrial production and employment decline after the shock, with the largest effects occurring several months after the innovation.

Economic message: The firm-level evidence and macro VAR evidence point in the same direction: high policy uncertainty is associated with weaker real activity.

variable	(1) I/K	(2) I/K	(3) I/K	(4) I/K	(5) Δ Emp	(6) Δ Emp	(7) Δ Emp	(8) Δ Emp	(9) Δ Rev
$\text{intensity} \times \text{intensity}$	-0.032*** (0.010)	-0.032*** (0.010)	-0.024** (0.011)	-0.029*** (0.010)	-0.213** (0.084)	-0.227** (0.089)	-0.220** (0.118)	-0.220** (0.094)	-0.128 (0.096)
$\text{intensity} \times \text{intensity}$	8.20*** (2.86)	8.04*** (2.86)	12.12*** (3.18)	8.85*** (2.87)	10.79 (7.41)	15.60*** (8.04)	3.19 (12.56)	10.99 (7.88)	20.39** (9.43)
$\text{log purchases} \times \text{intensity}$	1.01 (0.828)					-4.65*** (2.89)			
use EPU $\times$ defense firm				0.002 (0.004)				0.018 (0.017)	
h care EPU $\times$ health firm				-0.012*** (0.002)				-0.005 (0.0025)	
eg. EPU $\times$ finance firm				-0.002*** (0.001)				0.003 (0.005)	
urchase leads	No	No	Quarterly Yes	No	Yearly No	Yearly No	Yearly Yes	Yearly No	Yearly No
s	708,398	708,398	411,205	708,398	162,006	162,006	107,205	162,006	151,473
firms	21,636	21,636	13,563	21,636	17,151	17,151	11,505	17,151	15,749

sample period runs from 1985 to 2012. All columns include a full set of firm and time effects. I/K is the investment rate defined as $\frac{\text{log}(I_t)}{\text{log}(K_t)}$, and Δ Rev is the corresponding revenue growth rate, $\Delta \text{Rev}_t = \frac{\text{log}(R_t) - \text{log}(R_{t-1})}{\text{log}(R_t)}$, as in the next quarter in quarterly specifications and in the next year in annual specifications, multiplied by the firm-level policy exposure intensity variable, intensity_t . intensity_t is the mean forecasted change in $\frac{\text{log}(I_t)}{\text{log}(K_t)}$ from the Federal Reserve Bank of Philadelphia's Survey of Professional Forecasters. ^aA data for the current values and forecast data for the future values. See the notes to Table II for additional variable definitions. Standard errors based on

Table IV: Firm investment, employment, and sales

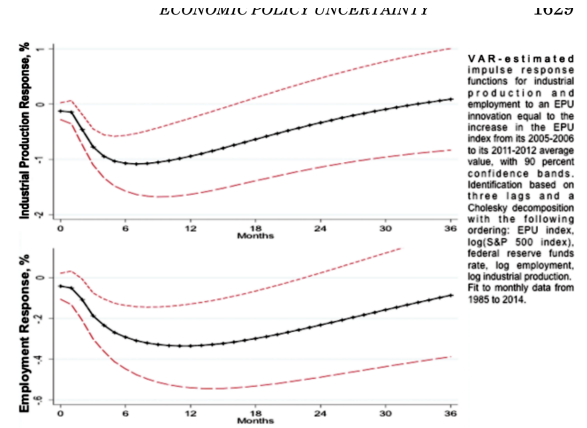


Figure VIII: U.S. VAR responses to an EPU shock

6.7 Figure IX and Figure X: robustness and international panel VAR

Read:

- Figure IX shows that U.S. VAR responses are robust to alternative samples, lags, ordering assumptions, inclusion of the VIX or EU index, and time trends.
- Figure X shows a twelve-country panel VAR.
- Internationally, an EPU shock predicts lower industrial production and higher unemployment.
- Country-level EPU innovations therefore have macroeconomic content beyond the United States.

Economic message: The aggregate relationship between policy uncertainty and real activity is not an artifact of one U.S. specification. It appears across robustness exercises and international data.

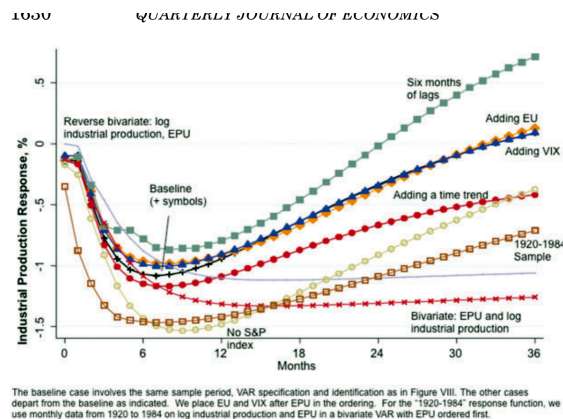


Figure IX: Robustness of U.S. VAR responses

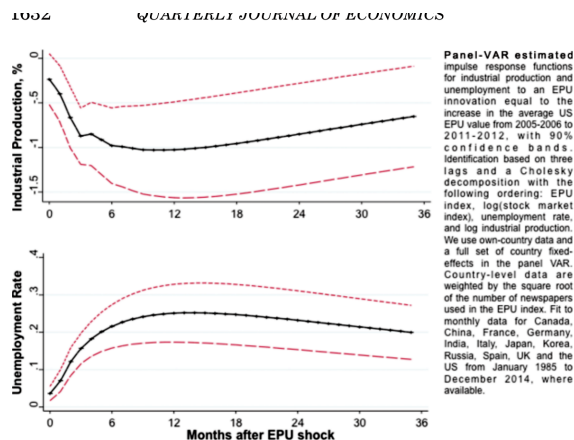


Figure X: Twelve-country panel VAR responses

7 Short summary

- The paper constructs a newspaper-based Economic Policy Uncertainty index.
- The main U.S. index counts articles containing economy, policy, and uncertainty terms.
- The index spikes around major policy-related crises and disputes.
- Category-specific indexes identify the policy domain driving each spike.
- The method extends to other countries and to long historical samples.
- Human audits validate the automated text filter.
- The EPU index is related to but distinct from the VIX, Beige Book uncertainty, 10-K risk-factor language, and other uncertainty measures.
- Firm-level evidence shows that exposed firms become more volatile and reduce investment and employment when relevant EPU rises.
- U.S. and international VAR evidence shows that EPU shocks are followed by declines in industrial production and employment.
- The main contribution is both measurement and empirical application: it creates a widely usable EPU index and shows that policy uncertainty has economic consequences.

8 Conclusion

8.1 Core conclusion

Baker, Bloom, and Davis provide a transparent and scalable measure of economic policy uncertainty based on newspaper text. The index moves strongly around major policy events, passes several validation exercises, and predicts firm-level and aggregate economic outcomes.

8.2 Economic intuition

Economic policy uncertainty matters because policy affects taxes, spending, regulation, health care, defense, monetary conditions, trade, and the rules under which firms operate. When firms are unsure about future policy, they may delay investment and hiring, and investors may require greater compensation for bearing risk. The EPU index captures this perceived policy risk in real time using public news text.

8.3 Incremental contribution in one sentence

The paper's lasting contribution is to make policy uncertainty measurable, comparable, and empirically usable, turning a broad narrative concept into a public data series that can be linked to firm behavior and macroeconomic fluctuations.

8.4 Takeaway

The paper shows that text-based measures can capture economically meaningful uncertainty and that policy uncertainty is associated with lower investment, employment, and output. It also creates the foundation for a large subsequent literature using EPU indexes across countries, industries, firms, and policy domains.